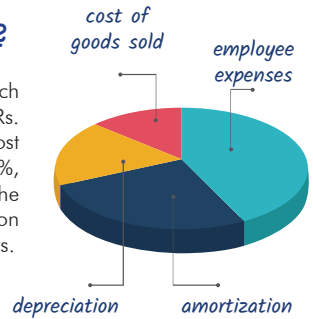


What is a Common Size Income Statement?

As seen earlier, a Common Size Income Statement assumes shows each item as a percentage of revenue. For example, if a company's sales is Rs. 400 crores and cost of good's sold is Rs. 72 crores and advertising cost is Rs. 44 crores, Common size statement will show revenue as 100%, COGS as 18% and advertising as 10.5%. It will do this for each item in the income statement as we can see in the excel image above this. Common size statement removes the impact of growth and focuses on proportions.



EXAMPLE

In FY 2016, the company spent 45% of its total revenue on the cost of goods sold which went down to 44% in FY 2017 and increased to 51% in FY 2019. In FY 2021, it became 46%. This is how every line item will be shown as a percentage of revenue.

COMMON SIZE INCOME STATEMENT							
PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021	
Revenue from Operations	100%	100%	100%	100%	100%	100%	
Operating Expenses -							
Cost of goods sold	45%	44%	46%	51%	47%	46%	
Employee Benefit Expense	10%	11%	11%	12%	13%	13%	
Depreciation and Ammortisation	2%	2%	2%	2%	2%	3%	

The company advertised relatively less in FY21. Before that, the company was spending 3-4 percent on advertising. The major reason for such a decrease was, in all probability, Covid 19. We thus need to understand the reasons behind each change.

We need to analyze the company's trend and understand where revenue is being spent and changes in margins at different levels. We will then look for reasons for such changes.

On noticing a significant increase or decrease, we need to understand the reason behind it and how it affects the company's performance

Let us dig deeper into the topic.

Revenue from Operations will be 100 percent, as mentioned earlier.

Cost of Goods Sold

It goes from 45% in FY 2014 to 44% in FY 2017, around a 1% increase in gross profit. Then it became 46% in FY 2018 and further increased to 51% in FY 2019. FY 2020 and 2021 saw the cost of goods remain constant at 46-47%.

COMMON SIZE INCOME STATEMENT							
PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021	
Revenue from Operations	100%	100%	100%	100%	100%	100%	
Operating Expenses -							
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